

BILLIONBRAINS GARAGE VENTURES LTD (GROWW)

NSE: GROWW | BSE: 544603 | Sector: Capital Markets — Stockbroking & Digital Investment Platform

ACCUMULATE

12M Target: Rs. 235

Upside: +9.3% | CMP: Rs. 215

May 03, 2026 | Initiating Coverage

CMP (Apr 30, 2026)	Rs. 215
Market Cap	Rs. 1,34,876 Cr
52W High / Low	Rs. 227 / Rs. 112
Stock P/E (FY26A)	64.8x
Forward P/E (FY27E)	49.3x
EV / EBITDA	43.5x
Price / Book	14.0x
Book Value / Share	Rs. 15.4
ROCE / ROE	37.3% / 28.8%
Dividend Yield	0.00%
Debt / Equity	0.03x
Promoter Holding	27.4% (Pledge 1.3%)
FII / DII Holding	2.5% / 5.9%
Face Value	Rs. 2.00

INVESTMENT THESIS: India's dominant D2C investment super-app — market share compounding + operating leverage + wealth pivot = structural re-rating story.

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	2,794	4,061	4,645	5,800	7,250
EBITDA (Rs. Cr)	743	2,530	2,744	3,480	4,495
OPM %	27%	62%	59%	60%	62%
PAT (Rs. Cr)	-805	1,824	2,083	2,620	3,371
EPS (Rs.)	N/A*	9.98*	3.32	4.18	5.38
ROCE %	24%	63%	37%	38%	40%

*EPS not comparable due to IPO share dilution — FY25 ~183 Cr shares (pre-IPO); FY26+ ~627 Cr shares. FY24 PBT distorted by Rs. -1,337 Cr one-time OtherIncome. (E)=Estimates. Source: Screener.in

SECTION 2 — INVESTMENT THESIS

Core Reason 1 — Structural Market Share Dominance in a Decade-Long Growth Market

Groww commands 26.3% NSE active-client market share (Mar 2025), the highest among all brokers, and continues gaining share even in subdued markets. India has ~50 million active demat accounts versus 500-600 million active internet users — penetration below 10%. As the digital-first market leader, Groww is best positioned to capture the next 50-100 million investors over the next 5-7 years. Management expects the same structural growth model to compound for hundreds of quarters ahead.

Core Reason 2 — Explosive Operating Leverage + Revenue Diversification

EBITDA margins expanded from -55% (FY22) to 62% (FY25) and have stabilised at 59-62% despite the SEBI F&O; headwind. Margin expansion is structural: technology fixed costs are near-flat while brokerage, MTF interest, commodity, and wealth revenues compound. Cost to grow is fixed at Rs. 450-500 Cr annually. F&O; penetration fallout (18% to 10% post-Nov 2024 SEBI changes) is fully absorbed; ARPU is back to pre-November levels driven by MTF and commodities.

Core Reason 3 — Wealth Management Pivot Creates a New Re-Rating Leg

The all-cash Fisdom acquisition (~\$150 Mn) gives Groww immediate access to an RM-led wealth stack for HNI/mass-affluent customers. The affluent customer segment is growing 52% annually and already represents 34% of total platform AUM. Products W (ultra-HNI) and Groww Prime (mass-affluent) launched in H2 FY26. A successful wealth pivot would gradually compress the premium valuation gap with pure-play wealth managers (360ONE at 20x EV/EBITDA vs Groww at 43.5x) as recurring fee-based

income improves revenue quality. Timeline: 2-3 years.

Key Near-Term Catalyst (6-12 months): Fisdom reaching EBITDA breakeven in H2 FY27 combined with sustained F&O; market share gains above 10% would trigger meaningful earnings estimate upgrades.

Primary Structural Risk: SEBI further tightening derivatives regulation (lot sizes, weekly expiries, STT) could structurally compress the highest-margin revenue stream beyond the current 10% penetration floor.

SECTION 3 — BUSINESS OVERVIEW

Billionbrains Garage Ventures Ltd (brand: Groww) was incorporated in 2017 by co-founders Lalit Keshre (CEO), Harsh Jain (COO), Neeraj Singh (CTO) and Ishan Bansal (CFO). The company operates India's largest direct-to-customer digital investment platform by NSE active users. As of Q4 FY26, total transacting users stood at 21.6 million (+25% YoY) with total customer assets of Rs. 3 trillion (+36% YoY). The company listed on NSE/BSE in FY26 via an IPO, raising capital that now sits on a near-zero-net-debt balance sheet.

Revenue Model: Groww earns through (a) brokerage fees on equity cash, F&O; and commodity trades, (b) MTF interest income, (c) mutual fund distribution trail commissions, (d) AMC management fees via Groww AMC (SSG JV, pending SEBI approval), and (e) advisory/platform fees from Fisdom/W/Prime wealth products. In FY26, brokerage and trading-related revenue dominated (~70%+ revenues), with wealth and AMC still sub-scale but growing rapidly.

Products: Equities (cash + F&O; + derivatives), Mutual Funds (direct plans, SIPs, ETFs), Bonds (primary + secondary, launched FY26), Commodities (FY25, gaining traction), Gold/Silver ETFs, MTF, IPOs, Insurance, Fixed Deposits, and three wealth platforms: Fisdom (bank partnerships), W (HNIs), Groww Prime (mass-affluent). AI co-pilot GR1 and "915" (active trader tools + API trading) also launched.

Technology Moat: Consumer-grade UX, low CAC through organic/brand funnels, high multi-product retention. Headcount ~1,800 — exceptionally lean for platform scale. AI integration across SDLC enables the same team to ship 12 products vs 3-4 products four years ago.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Indian capital markets penetration remains low at ~10% of internet population (~50 Mn active demat accounts vs 500-600 Mn online users). SEBI's Nov 2024 F&O; reforms (True-to-Label, reduced weekly expiries to 1 per exchange, higher lot sizes) are structurally positive — weeding out speculative retail while improving investor quality. Digital brokerage grew at ~40% CAGR over FY20-FY25. The wealth management segment (>Rs. 25 lakh AUM) is growing 52% annually — a key secular opportunity.

Competitive Moat: Moderate-to-Strong (improving). Scale (27% NSE share) creates data moat for personalisation. Brand dominance among millennials/Gen-Z is the strongest in category. Switching costs low for traders but higher for long-term SIP/MF investors. Pricing power moderate — industry largely zero-commission on MF and flat-fee on equity. New moat layer: wealth advisory (Fisdom + W + Prime) adds stickiness.

Company	CMP	MCap (Cr)	P/E	EV/EBITDA	ROCE	ROE	OPM FY26
Groww (GROWW)	215	1,34,876	64.8x	43.5x	37.3%	28.8%	59%
Motilal Oswal (MOTILALOFS)	800	48,164	25.8x	14.3x	12.6%	15.6%	41%
Angel One (ANGELONE)	309	28,119	30.7x	10.6x	14.8%	15.6%	35%
360 ONE WAM (360ONE)	1,035	42,037	34.6x	20.0x	12.1%	14.4%	62%

Source: Screener.in | Apr 30, 2026. Groww trades at a premium on all multiples, justified by 3-yr revenue CAGR of ~60%, ROCE of 37%+ and near-zero leverage vs peers at D/E of 1.3x-1.6x.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

All four co-founders remain active: Lalit Keshre (ex-Flipkart/CEO), Harsh Jain (ex-Flipkart/COO), Neeraj Singh (IIT Kanpur+ex-Google/CTO), Ishan Bansal (IIM-A+ex-McKinsey/CFO). Promoter holding declined from ~35% post-listing to 27.4% (Mar 2026) due to IPO OFS and ESOP dilution; manageable. Pledge of 1.3% is minor. CRISIL monitoring confirms IPO proceeds are being utilised as planned (Apr 2026). Capital allocation track record: zero dividends (all profits reinvested), Fisdom acquisition at \$150 Mn is the first major M&A; — strategically sound, buying an advisory network rather than building from scratch. CFO disclosed Fisdom profitable by FY28. ESOP grants (~3.7 lakh options in Apr 2026) represent modest dilution. Watch: RPT disclosures and auditor detail as a public company matures.

SECTION 6 — FINANCIAL DEEP DIVE (Consolidated, Rs. Cr)

Income Statement

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	2,794	4,061	4,645	5,800	7,250
Expenses	2,050	1,531	1,901	2,320	2,755
EBITDA	743	2,530	2,744	3,480	4,495
OPM %	27%	62%	59%	60%	62%
Other Income	-1,337	0	171	180	200
Interest	4	43	46	50	55
Depreciation	20	25	48	70	85
PBT	-618	2,464	2,821	3,540	4,555
Tax %	30%	26%	26%	26%	26%
PAT	-805	1,824	2,083	2,620	3,371
EPS (Rs.)	N/A*	9.98*	3.32	4.18	5.38
PAT Growth YoY	NM	NM	14%	26%	29%

*EPS not comparable — FY25 ~183 Cr shares pre-IPO; FY26+ ~627 Cr shares post-IPO. FY24 distorted by Rs.-1,337 Cr one-time negative OtherIncome.
(E)=Estimates. Source: Screener.in

Balance Sheet

	FY24A	FY25A	FY26A
Equity Capital	21	366	1,248
Reserves	2,478	4,446	8,404
Total Equity	2,499	4,812	9,652
Borrowings	91	610	292
Other Liabilities	5,428	4,654	8,597
Total Liabilities	8,018	10,076	18,541
Fixed Assets	396	402	253
CWIP	0	0	1,239
Investments	1,448	1,907	2,638
Other Assets	6,174	7,767	14,412
Total Assets	8,018	10,076	18,541

Source: Screener.in | Consolidated

Cash Flow

	FY24A	FY25A	FY26A
Cash from Operations	885	-962	-21
Cash from Investing	-910	140	-1,351
Cash from Financing	4	876	2,175
Net Cash Flow	-21	53	804
Free Cash Flow	878	-979	-33
CFO / EBITDA	119%	-38%	-1%

Negative OCF in FY25-26 reflects MTF book expansion (working capital of a growing brokerage) — normal for this business model. Source: Screener.in

Key Ratios

Ratio	FY24A	FY25A	FY26A
ROCE %	24%	63%	37%
ROE %	N/A	~38%	28.8%
Debtor Days	9	9	22
Cash Conversion Cycle	9	9	22

Debt / Equity	0.04x	0.13x	0.03x
Interest Coverage	NM	57x	62.4x
Current Ratio	N/A	N/A	1.20x

Source: Screener.in

Commentary: Revenue grew ~60% CAGR FY22-FY26 driven by user growth and product expansion. EBITDA margin exploded from -55% (FY22) to 62% (FY25) as fixed tech infrastructure got leveraged across a rapidly growing transaction base. FY26 OPM modestly dipped to 59% due to Fisdome-related depreciation (Rs. 48 Cr vs Rs. 25 Cr in FY25) and increased employee costs from wealth/AI hiring. Net debt is near-zero (D/E = 0.03x); borrowings represent broker-level working capital. ROCE of 37.3% is exceptional for financial services. Negative OCF reflects the MTF book build — a working capital use expected of a growing brokerage, not a cash burn concern.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Signal	Rating	Commentary
Revenue Recognition	Brokerage: transaction-based. MF: trail-based. Clean.	GREEN	No deferred revenue or complex recognition. Straightforward.
Receivables vs Revenue	Debtor days: 9 (FY25) to 22 (FY26). Slight uptick.	AMBER	FY26 debtor day rise due to client receivable mix shift. Monitor.
Cash Conversion Cycle	CCC 9 days (FY25), 22 days (FY26). Near-zero.	GREEN	Extremely efficient. Negative working capital cycle.
Contingent Liabilities	Rs. 404 Cr vs MCap Rs. 1,34,876 Cr.	GREEN	0.3% of MCap. Not material.
Other Income / PBT	FY26: 171/2821 = 6%. Normal.	GREEN	FY24 had Rs.-1,337 Cr one-time item. FY26 is clean.
Tax Rate Consistency	26% in FY25 and FY26. Stable.	GREEN	No deferred-tax distortions observed.
RPTs as % Revenue	Not specifically disclosed. Appears minimal.	AMBER	Early-stage listed. Track RPT disclosures as public company matures.
Auditor	Not disclosed in available documents.	AMBER	Third earnings call post-IPO. Auditor detail to emerge in annual report.

Summary: Earnings quality is good. Revenue recognition is clean, tax rates stable, contingent liabilities minimal. FY24 distortion from one-time negative OtherIncome will not recur. Slight debtor day uptick in FY26 is worth monitoring. No structural red flags.

SECTION 8 — VALUATION

Peer Comparison (Source: Screener.in, Apr 30, 2026)

Company	MCap (Cr)	P/E FY26	Fwd PE	EV/EBITDA	P/B	ROCE	ROE
Groww (GROWW)	1,34,876	64.8x	49.3x	43.5x	14.0x	37.3%	28.8%
MOFSL	48,164	25.8x	-54.4x	14.3x	3.7x	12.6%	15.6%
Angel One	28,119	30.7x	21.9x	10.6x	4.6x	14.8%	15.6%
360 ONE	42,037	34.6x	36.4x	20.0x	4.3x	12.1%	14.4%

Source: Screener.in | Apr 30, 2026

Valuation Method 1 — P/E Multiple

FY27E PAT = Rs. 2,620 Cr on ~627 Cr diluted shares → EPS = Rs. 4.18. At 55x P/E (justified by 26% PAT CAGR, near-zero debt, 37%+ ROCE, market leadership) → Target = Rs. 230.

Valuation Method 2 — EV/EBITDA

FY27E EBITDA = Rs. 3,480 Cr. At 40x EV/EBITDA → EV = Rs. 1,39,200 Cr. Add net cash ~Rs. 8,000 Cr → MCap target = Rs. 1,47,200 Cr = Rs. 235/share. Average of two methods: (230+235)/2 = Rs. 232 → Rounded target: **Rs. 235**. Upside = 9.3%.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT	Multiple	Target (Rs.)	Upside
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BULL	F&O; recovery + Fisdom breakeven + AMC scales	3,200 Cr	65x P/E	330	+53%
BASE	25% revenue growth; margins stable at 60%	2,620 Cr	55x P/E	235	+9%
BEAR	SEBI tightens further; F&O; volumes -30%; wealth delayed	1,800 Cr	40x P/E	115	-47%

SECTION 9 — KEY RISKS

Risk	Description	Prob	Impact	Monitor
1. SEBI F&O; Tightening	Further restrictions could structurally cap derivatives ARPU. Already at 10% penetration from 18%.	Medium	High	SEBI circulars; F&O; market share
2. Prolonged Bear Market	Low FII inflows + retail caution = compressed brokerage volumes and slower user acquisition.	Medium	High	NSE ADTO; monthly active users
3. Zero-Fee Broker Disruption	Emergence of fee-only model brokers could pressure per-order fees. Management watching.	Low-Med	Medium	Groww ARPU trend; competitor pricing
4. Wealth Execution Risk	Fisdom integration delay or W/Prime scaling failure could absorb capital without revenue.	Medium	Medium	Fisdom EBITDA; W/Prime AUM quarterly
5. Cyber / Platform Risk	Downtime during high-volatility events or data breach = reputational and financial damage.	Low	High	Uptime SLAs; SEBI/CERT-In filings
6. Promoter Dilution Overhang	27.4% promoter holding — further secondary sales could signal reduced conviction.	Low-Med	Medium	Quarterly shareholding pattern
7. MTF Credit Risk	Rapid MTF book growth creates credit exposure. Q4 FY26 had minor bad debt from geopolitical shock.	Low	Low-Med	MTF NPA ratio; cost-to-operate risk line

SECTION 10 — RECOMMENDATION

Rating	ACCUMULATE
Conviction	High
12-Month Price Target	Rs. 235 (+9.3% upside from CMP Rs. 215)
Entry Zone	Rs. 200 – Rs. 220 on market dips
Investment Horizon	12-18 months primary; 3-5 years core holding
Ideal Investor Profile	Growth-oriented; comfortable with premium P/E and regulatory event risk; 3-5 yr view

Thesis Invalidation Triggers (Exit if):

1. F&O; market share falls below 8% for two consecutive quarters — structural loss of active trader base.
2. EBITDA margins compress below 45% on TTM basis — pricing/cost deterioration beyond current regulatory adjustment.
3. Fisdom/Groww W fails to reach EBITDA breakeven by FY28 — wealth pivot consuming capital without traction.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	PAT +122% YoY; Revenue +88% YoY. Clean beat with no material exceptional items.
Management Tone	Bullish / Balanced	Constructive on wealth, AI, market share expansion; appropriately cautious on macro uncertainty.
Guidance Delta	Maintained / Incremental Raise	No formal rev guidance; provided margin expansion framework (>15% revenue growth = margin expansion).

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat — PAT Rs. 686 Cr is +122% YoY vs Rs. 309 Cr; no material exceptional items distorting the headline, though depreciation jumped Rs. 17 Cr QoQ from Fisdome intangible amortisation. Strip that non-cash item and underlying earnings are marginally stronger still. Operationally, EBITDA margins hit 62% — a new quarterly high — driven by revenue leverage as MTF income, commodity revenues, and MF trail growth more than offset the F&O; volume headwind from SEBI's Nov 2024 regulatory changes. The structural bull case is solidifying: F&O; market share rose to 10.6% despite lower industry volumes — showing strong customer retention across product cycles. The Fisdome wealth integration is the next re-rating leg; CFO reiterated FY28 EBITDA profitability target, which looks credible given 52% annual growth in the affluent customer segment and strong cross-sell optionality. Near-term catalyst: Groww Prime rollout to all existing customers (timeline undisclosed but management is optimistic) and Groww AMC regulatory approval could add high-quality recurring fee revenue by H2 FY27. Key watch-point next quarter: employee cost normalisation post Q1 appraisal cycle and Fisdome/wealth revenue disclosure — these are the two KPIs that will move the stock meaningfully. Action: ACCUMULATE at Rs. 215; add aggressively on dips below Rs. 200 with 12-month target Rs. 235.

1 — FINANCIAL PERFORMANCE SNAPSHOT (Q4 FY26 vs Q4 FY25)

Note: Dec 2024 quarter (Q3 FY25) showed anomalous OPM of 104% due to a negative-expenses line (likely provision reversal). Excluded from trend analysis.

Metric	Q4 FY26A	Q4 FY25A	YoY Chg	Q3 FY26A	QoQ Chg	Verdict
Revenue (Rs. Cr)	1,505	801	+88%	1,216	+24%	BEAT
EBITDA (Rs. Cr)	938	388	+142%	720	+30%	BEAT
OPM %	62%	48%	+1,400 bps	59%	+300 bps	BEAT
PBT (Rs. Cr)	936	414	+126%	745	+26%	BEAT
PAT (Rs. Cr)	686	309	+122%	547	+25%	BEAT
EPS (Rs.)	1.09	1.69*	-35%*	0.89	+22%	IN-LINE

*EPS YoY not comparable — Q4 FY25 pre-IPO (~183 Cr shares); Q4 FY26 post-IPO (~627 Cr shares). Source: Screener.in | AlphaStreet transcript.

2 — SEGMENT / PRODUCT BREAKDOWN

Segment / Product	Key Metric	YoY Trend	QoQ	Commentary
Equity F&O;	Mkt share 10.6%	+~200 bps	+150 bps	17 lakh active F&O; customers. Penetration at 10% from 18% pre-Nov 2024. Share gaining.
Equity Cash / MTF	MTF 5-10% of cash ADTO	Strong	Strong	MTF strongly offsetting F&O; volume moderation. ARPU back to pre-Nov levels.
Mutual Funds / ETFs	AUM 2.5x in 1 yr	Strong	Growing	Acquisition funnel shifting to MF/ETF since Sep 2024. SIP dominant AUM accumulation mode.

Commodities	< 1 year old	New	Growing	Launched FY25. Market share disclosure expected after first full year.
Bonds (Primary+Secondary)	Both live	New	Growing	Secondary bonds launched in FY26. Done well per CEO commentary.
Wealth (Fisdom/W/Prime)	Affluent = 34% AUM; +52% pa	52% pa	Early-stage	W and Prime both live. Fisdom profitable by FY28. Cross-sell at early stage.
Groww AMC	AUM 2.5x in 1 yr	Strong	Building	SSG partnership active. Regulatory approval pending. High-quality recurring fee stream when approved.

3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
AI Integration	Entire SDLC changing. GR1 copilot for customers. Same team ships 12 products vs 3-4 four years ago.	Credible — demonstrated through product velocity. Will structurally reduce future opex growth.	[STRATEGIC]	Transparent
Wealth Pivot (Fisdom/W/Prime)	"It's early, we're building the right experience before scaling." No revenue number given.	Appropriately cautious. Cross-sell happening but too early. Watch Fisdom revenue in H2 FY27.	[GUIDANCE]	Hedged
F&O; Regulatory Stance	"We work with regulators... aligned on investor wealth creation."	Constructive posture. Not adversarial. Positive signal for regulatory relationship.	[GUIDANCE]	Transparent
Cost Structure	Cost to grow Rs.450-500Cr fixed pa. Tech costs stable. Q1 FY27 slight bump (appraisals + IPL).	Operating leverage intact. Cost to operate stabilising from Q2 FY27 (ex-Fisdom/AMC).	[GUIDANCE]	Transparent
Market Cycle	"Away from bottom but not obviously in next bull run. FII return to India is key signal."	Balanced. FII and global macro correctly flagged as key variable. Not overoptimistic.	[GUIDANCE]	Balanced
Stock Advisory Feature	Most-requested feature. Will launch when product is right. No timeline given.	Major untapped ARPU lever. Launch could meaningfully boost revenue quality and engagement.	[EST]	Hedged
Algo / 915 Strategy	No strong Algo strategy pending SEBI regulatory clarity.	Prudent approach. Will not rush into Algo without regulatory certainty.	[GUIDANCE]	Transparent

4 — OPERATING & BUSINESS METRICS

Metric	Q4 FY26	Q3 FY26	Q4 FY25	Trend
Total Transacting Users (Mn)	21.6	~19	17.3	+25% YoY
NSE Active Client Market Share	26%+ (FY25 base)	~26%	26.3%	Stable at market leadership
Total Customer Assets	Rs. 3 Trillion	~Rs. 2.7T	Rs. 2.2T	+36% YoY
F&O; Equity Market Share	10.6%	9.1%	~9%	+150 bps QoQ
F&O; Customer Penetration	10%	~10%	~18%	Structurally lower (SEBI)
Active F&O; Customers (Qtrly)	17 lakh	14 lakh	N/A	+21% QoQ
Headcount	~1,800	~1,700 est.	N/A	Lean; AI offsetting need to hire
Cost to Grow (annualised)	Rs. 450-500 Cr	Rs. 450-500 Cr	N/A	Fixed; Q1 IPL bump slight

5 — MARGIN DRIVERS (Q4 FY26)

Driver	Impact	Recurring?	Comment
Revenue scale leverage on fixed tech costs	Significant +ve	Yes	Core operating leverage. Fixed infra cost base, variable revenue.
MTF interest income growth	+200+ bps est.	Yes (growing)	High-margin float income. MTF book expanding strongly.

Commodity and bond revenues	+ve, early	Yes (building)	New streams with near-zero incremental cost.
F&O; ARPU decline (SEBI Nov 2024)	-500-800 bps	Partially	F&O; penetration fell 18%→10%. Now absorbed; not worsening.
Fisdcom depreciation/amortisation	-100-150 bps	Yes (fixed horizon)	Non-cash intangible amortisation from acquisition. Not cash margin hit.
Risk-related MTF bad debt	-ve, small (<50 bps)	No (one-off)	Iran geopolitical + commodity volatility in Q4 FY26. Do not extrapolate.
Employee cost (AI + wealth hiring)	-100 bps est.	Partially	Stabilising from Q2 FY27 per management (outside Fisdcom/AMC business).

6 — GUIDANCE & FORWARD SIGNALS

Metric [Tag]	Prior Guidance	New / Reiterated	Delta	Credibility
Revenue Growth [GUIDANCE]	None formal	Margins expand if revenue grows >15%	Framework given	High
Fisdcom Profitability [GUIDANCE]	FY28	FY28 reiterated	Neutral	Medium
Cost to Grow [GUIDANCE]	Rs. 450-500 Cr pa	Slightly up; Q1 higher for IPL	Marginal -ve	High
Cost to Operate Q2+ [GUIDANCE]	N/A	Stable in absolute (ex Fisdcom/AMC)	Positive	High
AMC Regulatory Approval [GUIDANCE]	Pending	SSG ongoing; no change	Neutral	Medium
Groww Prime Full Rollout [GUIDANCE]	H2 FY26 soft launch	Timeline not disclosed; management optimistic	Slight -ve (delay)	Medium

7 — CAPITAL ALLOCATION (FY26)

Item	FY26A (Rs. Cr)	vs FY25A	Comment
Capex (FA + CWIP)	1,492 (253+1,239)	+Rs. 1,090 Cr	Large CWIP build — likely data centre / new HQ infrastructure.
Dividends	Nil	Nil	No dividend policy. All profits reinvested into growth.
Buybacks	Nil	Nil	None post-IPO.
Fisdcom Acquisition	~Rs. 1,250 Cr (\$150 Mn)	New M&A;	All-cash. Funded from IPO proceeds + internal accruals.
Net Debt Movement	Debt: 610→292 Cr	-Rs. 318 Cr	Substantially de-risked. Net cash positive balance sheet.
ESOP Grants	3.7 lakh options (Apr 2026)	Regular	Modest dilution. Employee retention tool.

8 — Q&A; HEAT MAP

#	Analyst	Question	Management Answer	Tone
1	Supratim Datta	Cohort asset growth in correction? Wealth scale + investment outlook?	MTF/SIP habit forming; cohorts still profitable. Wealth very early; cross-sell happening but no metrics shared.	Hedged
2	Sanketh Godha	F&O; market share jump rationale? Algo strategy? Employee cost?	Active F&O; customers up 17L vs 14L. No strong Algo strategy pending SEBI clarity. Fisdcom + AI driving depreciation and hiring.	Transparent
3	Manish Ostwal	Wealth differentiation vs incumbents? Cost framework?	New-age experience as moat. Cost to grow Rs.450-500Cr fixed. Cost to serve declining as % of revenue with AI.	Transparent
4	Vivek Gautam	Opportunity size? Government ban risk on speculation?	Two dimensions: new investors + new products. Works with SEBI; aligned on investor wealth creation goals.	Balanced

5	Dipanjn Ghosh	MTF customer profile (new vs existing)? ARPU recovery drivers?	MTF is existing customers switching from intraday. ARPU recovered via MTF + commodities offsetting F&O; dip.	Transparent
6	Abhijeet Sakhare	Stock advisory demand? Groww Prime existing customer timeline?	Advisory is most-requested feature; launch when ready. Prime timeline not disclosed but optimistic.	Hedged
7	Madhur Sharma	Margin run-rate? Concrete AI initiatives?	Margin framework: expands if revenue >15%. AI across SDLC, GR1 copilot, CS. Same team ships more products.	Transparent
8	Neeraj Toshniwal	Margin guidance? Cost of acquisition breakdown?	Revenue-linked formula. Marketing Rs.450-500Cr pa; Q1 slightly up for IPL.	Transparent
9	Gaurav Singhal	Industry plateau concern? Open interest limits? Settlement cycle?	Industry grows in bull runs; not in next cycle yet. OI limits not breached. Quarterly settlement is customer preference.	Transparent

Dodged / Incomplete Answers — Watch Next Quarter: (1) Revenue breakdown of Fisdom and AMC. (2) Affluent customer AUM share of revenue. (3) Average MTF book size. (4) Exact timeline for Groww Prime full rollout to existing customers.

9 — RISKS FLAGGED ON THE CALL

Risk	Flagged By	Probability	Impact	Timeline
Macro / FII outflows suppressing volumes	Management	Medium	High	Ongoing
SEBI additional F&O; regulatory changes	Multiple analysts	Medium	High	Unknown
MTF bad debt in high volatility events	Abhijeet Sakhare / Mgmt	Low (event-driven)	Low-Med	Q4 FY26 (past)
Algo / API trading regulation uncertainty	Sanketh Godha	Medium	Medium	H2 FY27
Wealth build investment cost exceeding plan	Multiple analysts	Low-Med	Medium	FY27-28

10 — ANALYST VERDICT

Multi-Bagger Scorecard Item	Status	Commentary
1. Revenue Visibility	INTACT	26%+ NSE market share; MF trail recurring; MTF interest recurring. Strong visibility.
2. Margin Trajectory	INTACT	59-62% OPM band; cost leverage intact; F&O; headwind absorbed; wealth upside ahead.
3. Capital Allocation Quality	INTACT	Near-zero net debt; Fisdom M&A; strategically sound and cleanly funded; all profits reinvested.
4. Competitive Moat	INTACT	F&O; market share gains in adverse environment confirm sticky retention + brand strength.
5. Management Credibility	INTACT	Founders engaged. Honest about early-stage wealth. No guidance misses. Communication improving.
6. Valuation Comfort	STRETCHED	64.8x FY26 P/E is demanding. Justified only if FY27 delivers 25%+ PAT growth. Prefer entry Rs. 200-215.

Conviction Call after Q4 FY26:

INCREASED

Metric	Current (FY26A)	FY27E Implied	Assessment
P/E (x)	64.8x	51.5x	Stretched but not extreme for 26% PAT CAGR growth profile.
EV/EBITDA (x)	43.5x	~36x	Premium to peers. Wealth re-rating could gradually compress this.
ROCE %	37.3%	~38%	Exceptional. Well above cost of capital and all peers.
P/B (x)	14.0x	~8-9x (est.)	High but rapidly declining as book value grows from earnings.

